controls and corporate governance norms". On October 3, 2022, for instance, GEL received Rs 93.88 crore—part loan from the NBFC Indian Renewable Energy Development Agency (IREDA) and part promoter margin. That same day, it transferred the amount to Go Auto Pvt Ltd, its EV supplier, from where Rs 50 crore was moved to Capbridge Ventures LLP—a firm where the brothers are designated partners. Within three days, Rs 42.94 crore was used to book a luxury apartment in The Camellias, a DLF property that is one of Gurugram's priciest addresses. The apartment was later allotted to their mother, Jasminder Kaur.

The Camellias apart, Sebi ticked other extravagances on GEL's expense: Rs 59 lakh in credit card payments, Rs 26 lakh on a luxury golf set and Rs 10.36 lakh on spa services. The list continues, extending to personal circles—a Rs 7 crore transferred to their mother and Rs 4.2 crore to their spouses. Another Rs 2.5 crore was used to buy foreign currency. In all, the brothers allegedly siphoned off nearly Rs 40 crore of GEL's funds by routing them to other related parties, family members or for personal use.

As a consultant who specialises in the cab-hailing market points out, "In the overall scheme of things, the issue is not so much about BluSmart as it is about Gensol." GEL had gone public in September 2019 and its annual sales leapt from Rs 75 crore in FY20 to Rs 1,152 crore in FY24. The fundamental pillar of BluSmart's business model was its access to EVs. These mostly came from GEL, which had raised Rs 977.7 crore in term loans from IREDA and the Power Finance Corporation (PFC). While Rs 663.9 crore was earmarked for 6,400 EVs to be leased to BluSmart, only 4,704 were procured for Rs 567.7 crore. GEL was also required to contribute 20 per cent in equity, bringing the total available funds for EV procurement to Rs 829.8 crore. Of this Rs 262 crore is unaccounted-for. "Fund diversion is the crux of most white-collar crimes in India," says Shriram Subramanian, founder and MD, InGovern Research Services, a proxy advisory firm. "Unfortunately, this is not just a story of a business gone wrong, it's one of deliberate fraud and document forgery to finance a flashy lifestyle."

Sebi also uncovered market rigging. The Jaggis allegedly used a firm called Wellray to buy GEL shares—99 per cent of its trading activity (Rs 160.5 crore) was focused on inflating GEL's stock price between April 2022 and December 2024. In one damning instance, GEL even routed Rs 10 crore through Wellray to fund its own preferential allotment, disguised as promoter contribution. The lie didn't end there. On April 9, when National Stock Exchange officials visited a vehicle plant of a GEL subsidiary in Pune, they reportedly found no manufacturing activity, belying the company's claim that it had got pre-orders for 30,000 units of its newly launched EVs.

END OF THE STORY?

The Enforcement Directorate has registered a case against the Jaggis under the Foreign Exchange Management Act (FEMA). Puneet was even detained briefly on April 24. He has not been seen in public since then, and has got interim protection from a Delhi court. Anmol is believed to have fled abroad. The Bureau of Immigration has issued lookout circulars. Meanwhile, in compliance with Sebi's order, the brothers have stepped down from their leadership positions at GEL, which saw its share price plunge from nearly Rs 800 at the beginning of this year to just over Rs 50 in the immediate aftermath of the controversy. It was trading at Rs 70 on May 20.

GEL faces an insolvency plea filed by IREDA for an alleged Rs 510 crore loan default. The two lenders—IREDA and PFC—have also filed a complaint with the Economic Offences Wing (EoW) of the Delhi Police over alleged falsification of documents related to debt servicing. The defaults reportedly began by the end of 2024, but GEL kept submitting "false statements" to credit rating agencies, denying delays. The Jaggis didn't reply to the emails sent to them for this story.

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— SHRIRAM SUBRAMANIAN
Founder & MD, InGovern Research Services



What of Goyal, the third element in the BluSmart equation? The BluSmart co-founder has publicly distanced himself from the Jaggis. The three together hold 35 per cent of the startup's equity. Goyal, who talked to INDIA TODAY on the phone on April 28, said that representatives of BP Ventures were in India at that time, trying to help revive the company. But it looks like an uphill battle. The London-headquartered VC firm says it is "monitoring the ongoing situation" concerning its "minority investment in BluSmart closely".

Anmol once sold a vision you would easily bet your money on. It delivered too. "The right strategy for any hyperlocal business, including a cab-hailing one , is to build enough scale and depth in a market before expanding to the next," says Rohan Agarwal, partner at Redseer Strategy Consultants. Anmol and Puneet were prudent that way, as they took their time to launch out of Delhi, building their fleet and charging hubs, before moving to Bengaluru and Mumbai. But then, greed seems to have got the better of them, and what was once a promising venture may now well be lost. ■